



EUROPEAN GREEN DEAL POLICY GUIDE

FIT-FOR-55 PACKAGE

MARCH 2024

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Introduction

Navigating the regulatory landscape to address climate change and achieve a green and just transition can be difficult for companies in today's rapidly changing world. At ecoPRISM, we recognize the challenges that companies face in adapting to these regulations. Our goal is to not only help companies overcome these challenges but also to identify the opportunities that arise from them. This document is the first in a series that aims to provide companies with a better understanding of the EU regulatory environment, with a particular focus on the EU Green Deal. In this first volume, we explore the policies outlined in Fit for 55, which are designed to help the EU achieve their NDCs.

The gated content will encompass a detailed exploration of the following EU green deal and fit for 55 policies:

- EU GREEN DEAL
- FIT FOR 55
 1. EU Emission Trading System (EU ETS)
 2. New EU Emissions Trading System for building and road transport fuels
 3. Social Climate Fund
 4. Effort Sharing Regulation
 5. Regulation on Land Use, Forestry and Agriculture (LULUCF)
 6. CO₂ emissions standards for cars and vans
 7. Carbon Border Adjustment Mechanism (CBAM)
 8. Renewable Energy Directive (RED)
 9. Energy Efficiency Directive (EED)
 10. Alternative Fuels Infrastructure Regulation (AFIR)
 11. Effort Sharing Regulation
 12. FuelEU Maritime Regulation
 13. Energy Taxation Directive (ETD)

Context

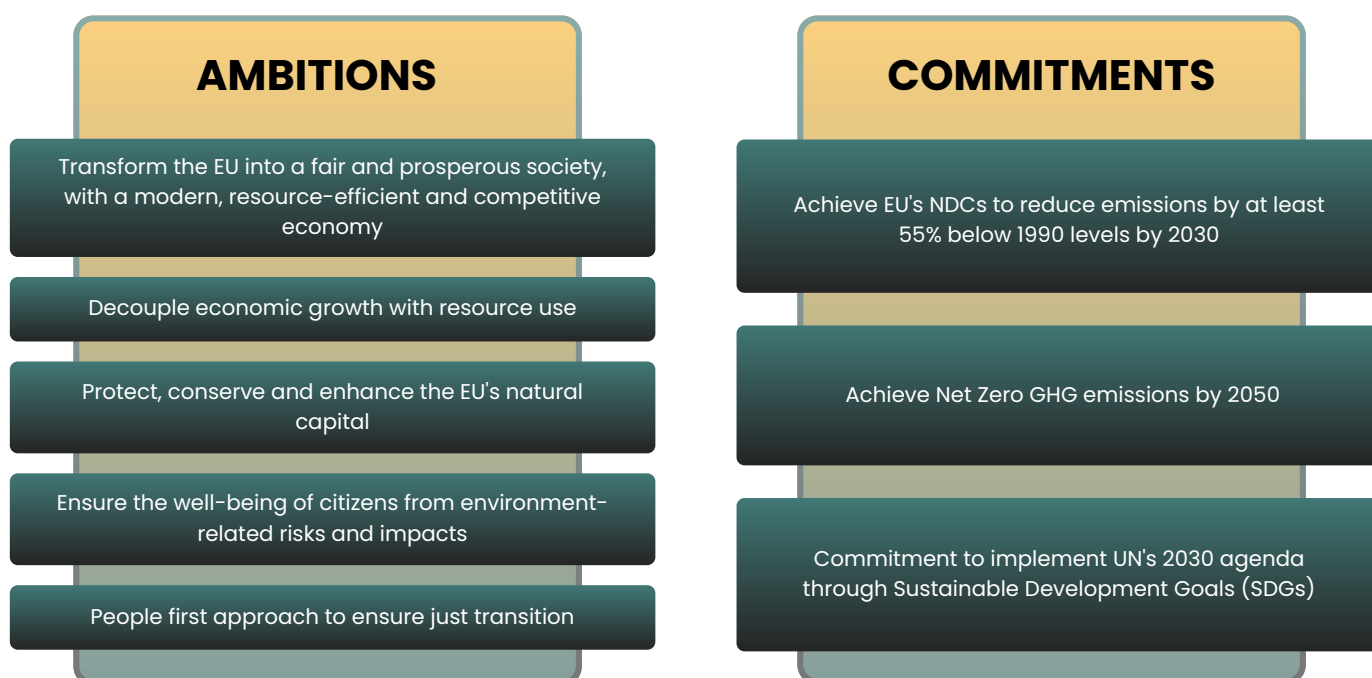
Climate change and environmental degradation are an existential threat to the world. It is estimated that the average global temperature in 2023 was 1.43 °C above the pre-industrial average. The increased frequency of extreme weather events and the risks posed by them to people businesses, and society at large, call for strong policy interventions to transition to more sustainable businesses and society.

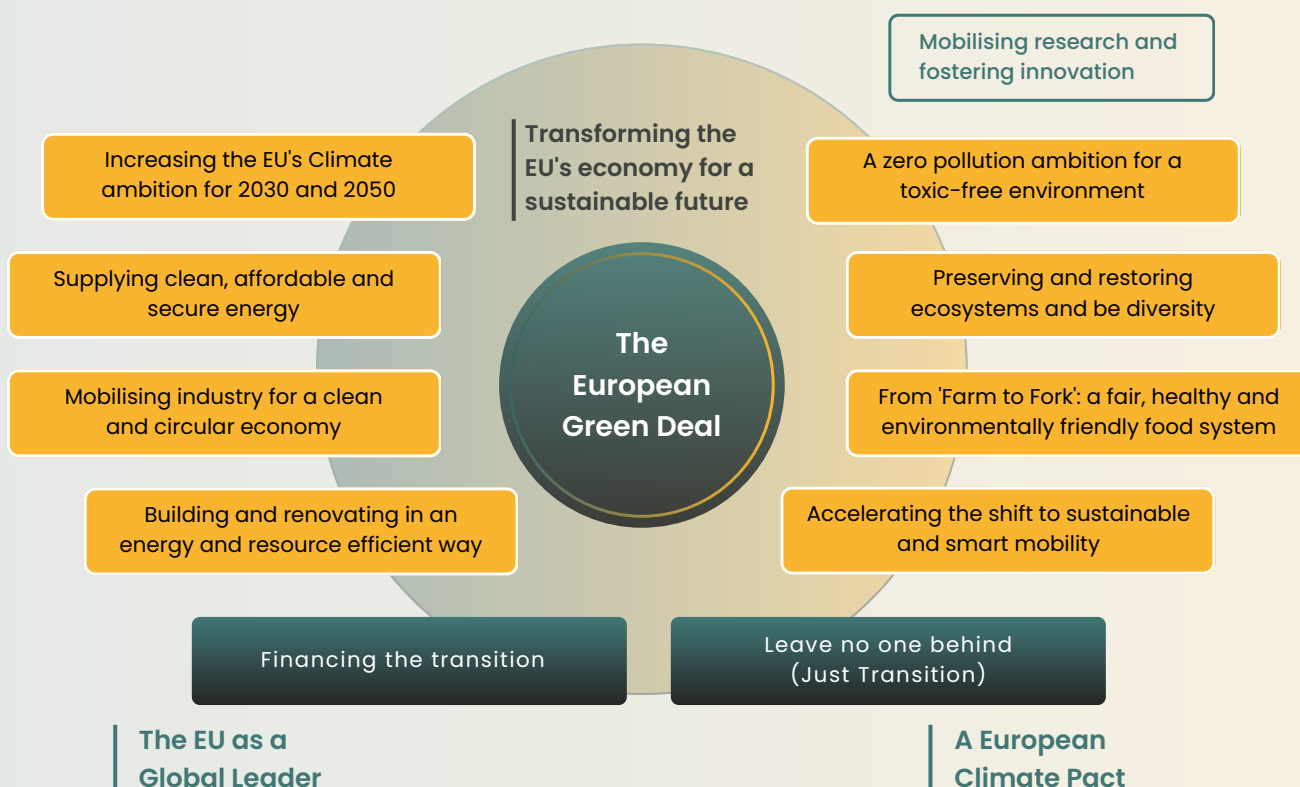
The Paris Agreement was a landmark achievement of two decades of international climate action. Adopted by 196 Parties at the UN Climate Change Conference (COP21) in Paris (December 2015), it is a legally binding international treaty on climate change. Its overarching goal is to hold “the increase in the global average temperature to well below 2°C above pre-industrial levels” and pursue efforts “to limit the temperature increase to 1.5°C above pre-industrial levels.” Nationally determined contributions (NDCs) are at the heart of the Paris Agreement, embodying efforts by each country to reduce national emissions and adapt to the impacts of climate change.

All EU member states have signed and ratified the Paris Agreement, demonstrating their strong commitment to its implementation. In keeping with this commitment, the EU countries have agreed to steer the region towards becoming the world's first climate-neutral economy and society by 2050. The EU's current NDC target, submitted in December 2020, is to reduce emissions by at least 55% below 1990 levels by 2030.

EU GREEN DEAL

EU's response to climate change mitigation and adaptation is the EU Green Deal. It is an overarching policy addressing multiple social, economic, and environmental challenges and ambitions for the union.





FIT FOR 55

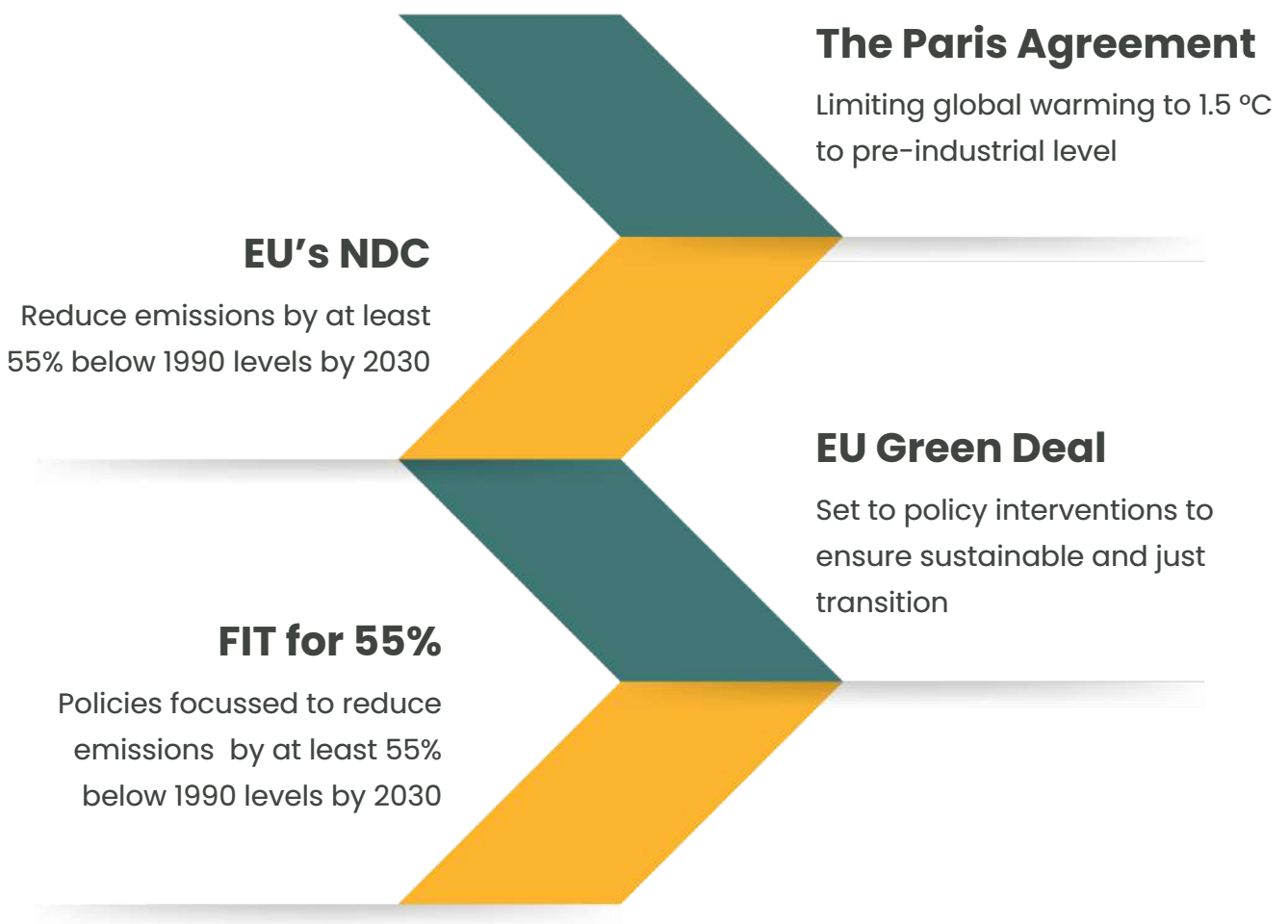
The 'Fit for 55' package, released on 14 July 2021, intends to achieve a 55 percent net emissions reduction from the 1990 level by providing a comprehensive and interrelated set of proposals. It is in line with EU's NDCs as per the Paris Agreement. Several goals are included in the policy plan to solve the climate catastrophe and transition to a greener economy:

Fair, Competitive, and Green Transition: A Whole-Economy Approach

- The Fit for 55 Package intends to deliver on the EU's substantial carbon reduction objective for the benefit of all Europeans.
- As well as to offer opportunities for people to participate in the transition, assist those in need, and promote better overall emissions reductions.

- It will also support the EU's green recovery from the pandemic, contribute to extending environmental standards beyond EU borders, and improve innovation in the products and technologies of the future. Bottom of Form

The Fit for 55 package is a collection of interconnected measures aimed at guaranteeing a fair, competitive, and environmentally friendly transition by 2030 and beyond. Existing law is made more ambitious when possible, and new suggestions are introduced where necessary. Overall, the package enhances eight current pieces of law while also introducing five new efforts in a variety of policy areas and economic sectors, including climate, energy and fuels, transportation, buildings, land use, and forestry.



1. EU EMISSION TRADING SYSTEM (EU ETS)

Overview

The EU Emissions Trading System (EU ETS) serves as the foundation of the European Union's efforts to fight climate change and reduce greenhouse gas emissions by 50% to become climate neutral by 2050. EU ETS is the world's first and largest cap-and-trade system for carbon dioxide (CO₂) and other greenhouse gases. The EU ETS is based on the 'cap and trade' principle, which allows companies to buy carbon allowances through auctions. The EU ETS cap sets up a limit on total greenhouse gas emissions can be emitted and it is gradually decreased to reduce emissions. Companies are required to surrender emissions allowances annually under the EU ETS to avoid penalties.

Status of regulation

The EU ETS framework is outlined in the ETS Directive, operates in trading phases and has undergone several revisions to align with EU climate policy objectives. In 2021, the European Commission proposed strengthening the ETS, extending emissions trading to new sectors, and setting up a new Social Climate Fund to address carbon pricing impacts on vulnerable groups. These proposals were adopted and became law in April 2023.

Key context of regulations

- The ETS has proven effective in driving cost-effective emissions reductions, with installations reducing emissions by about 35% between 2005 and 2021.
- The introduction of the Market Stability Reserve in 2019 led to a 9% year-on-year reduction in emissions from ETS installations, a 14.9% reduction in electricity and heat production, and a 1.9% reduction in the industry.
- The EU Emissions Trading System covers 40% of the EU's greenhouse gas emissions, covering 10,000 installations in the manufacturing, energy, and aircraft sectors.
- From 2024, it will also cover emissions from maritime transport, and it will operate in all EU nations and EEA-EFTA states.

- The price signal incentivizes emission reductions and encourages investment in new, low-carbon technology and trading gives flexibility by ensuring emissions are reduced where it costs the least.
- No free allocation is allowed to electricity production other than the Member states as the modernization of the power sector is required.

Sectors most impacted

Energy-intensive industries, such as **oil refineries, steelworks**, and the production of iron, aluminum, metals, **cement, lime, glass, ceramics, pulp, paper**, and **cardboard**. **Aviation** within the European Economic Area and departing flights to Switzerland and the United Kingdom, maritime transport. The EU ETS will only apply to flights between airports in the European Economic Area until December 31, 2026.

A separate emissions trading system is being established for fuel combustion in **buildings, road transport, and other sectors** to provide cost-effective emissions reductions and fairer decarbonization. The system will operate smoothly starting in 2027, with monitoring and reporting starting in 2025. In some sectors, operators larger than a certain size are included, while small installations can be excluded if governments implement fiscal or other measures to reduce emissions.



2. *New EU Emissions Trading System for building and road transport fuels*

Overview

A separate emissions trading system is established for fuel combustion in buildings, road transport, and other sectors, which include small industries not covered by the present ETS.

Status of regulation

The new system is intended to operate in an orderly, seamless, and effective way beginning in 2027, with monitoring and reporting beginning in 2025.

Key context of regulations

- The cap is designed to achieve 42% emission reductions in 2030 compared to 2005 levels, aligning with the sectors covered contribution to the 2030 climate objective.
- Front-loading of permit auctions in 2027, a Market Stability Reserve, a price stability mechanism for the early years, and safeguards against excessive price rises are all components of a smooth start.
- A precaution has been put in place, which states that if the price of oil or gas is unusually high in the run-up to the commencement of the new system, it will be delayed until 2028.
- Revenues from the auctioning of carbon allowances that exceed contributions to the new Social Climate Fund are distributed directly to Member States and must be used on climate and social initiatives.

Sectors most impacted

The new ETS has been established for fuel combustion in sectors such as **buildings, road transport and others** (mainly minor companies that are not covered by the current ETS). It complements Green Deal policies that cover these businesses by offering cost-effective emissions reductions and a more level playing field for decarbonization in these industries. Rather than customers and drivers, this "upstream" system oversees fuel providers.



3. ENERGY TAXATION DIRECTIVE (ETD)

Overview

The EU's ETD, which came into force in 2003, establishes structural guidelines as well as minimum excise duty rates for the taxation of energy products such as motor fuel, heating fuel, and electricity. Member States can set their own rates, but most tax most energy products, including electricity, higher than ETD minimum rates, ensuring minimum rates are met. This is reflected in the various rates of energy taxation in different EU countries, with significant differences between households and industrial use, different energy sources, diesel and other transport fuels, and rates that bear little relation to energy content or externalities such as CO₂ emissions or air pollution.

Status of regulation

The Commission accepted **a proposal to revise the Energy Taxation Directive** on July 14, 2021. The proposal aims to link energy product taxes with EU climate policy, promote clean technology, and eliminate outdated exemptions that stimulate fossil fuel use. This approach helps Member States secure funds from green taxes, which are less destructive to growth than labor taxes.

Key context of regulations

The EU's revised unified framework for ETD aims to promote cleaner energy, sustainable industries, and environmentally friendly choices in a socially equitable green transition. The rules will complement previous efforts in the package, ensuring that motor and heating fuel taxation reflects their environmental and health impacts. This will help meet climate policy objectives and promote a greener transition. The most significant changes in the revised Directive:

- The classification of energy products for taxation purposes is streamlined to guarantee that the most environmentally destructive fuels are charged the most.
- Fuels will be charged based on their energy content and environmental performance rather than volume. As a result, the environmental impact of

different fuels are better represented, allowing companies and consumers to make cleaner, more climate-friendly decisions.

- Exclusions for certain products and home heating will be taken down, such that fossil fuels may no longer be taxed at rates lower than the minimum. Member states will be able to assist less fortunate households and safeguard them from energy poverty.
- Fossil fuels used as fuel for intra-EU air transport, sea transport, and fishing should no longer be completely free from energy taxation in the EU, which is an important policy considering the prominence of these sectors in energy consumption and pollution.

Sectors most impacted

The regulation establishes the European Union's unified framework for taxing **energy sectors** such as electricity and energy products used as motor fuel or heating fuel. One of the most significant effects of this regulation is a reduction in the possibilities of **subsidizing fossil fuels**, particularly in sectors such as **aviation** and **marine transport**. Over ten years, minimum tax rates will increase, while sustainable fuels will receive a zero minimum rate to promote their adoption.



4. ENERGY EFFICIENCY DIRECTIVE

Overview

The fundamental purpose of this EED is to provide legally obligatory measures to help Europe meet its energy efficiency goals thereby fulfilling the European Union climate ambitions with the European Green Deal, and goal of being the first carbon-neutral continent by 2050. The directive requires that member states promote energy efficiency across the energy chain, from generation to transmission and distribution to end-use consumption.

Status of regulation

On March 2023 Commission welcomed a provisional agreement between the European Parliament and Council to reform and strengthen the EU Energy Efficiency Directive, advancing the 'Fit for 55' package and demonstrating the EU's commitment to becoming climate neutral by 2050.

Key context of regulations

The updated EED has significant regulations such as:

- EED sets 11.7% energy efficiency target for 2030, surpassing Commission's 'Fit for 55' proposal, requiring Member States to reduce final and primary energy consumption compared with energy consumption forecasts made in 2020.
- The provisional deal sets to increase the EU countries' annual energy savings obligation has doubled to achieve 1.49% of final energy consumption savings from 2024 to 2030.
- The revised rules increase public sector responsibility for increasing energy efficiency, requiring systematically considering energy efficiency requirements in procurement.

- A new annual energy consumption reduction target of 1.9% is introduced, and EU countries must renovate at least 3% of public administration buildings annually at regional and local levels.
- The revised EED encourages companies to be more energy-efficient by making energy management systems mandatory for large energy consumers, including SMEs and large data centers.
- EU countries are expected to promote local heating and cooling plans in large municipalities to ensure a fully decarbonized supply by 2050.
- Support for high-efficiency cogeneration units using natural gas will only be possible until 2030, and fossil fuel use will be banned for new heat generation capacities.
- EED strongly underpins the energy efficiency financing provisions for investment mobilization.
- EED agreement also understands energy poverty and promotes consumer empowerment through one-stop-shop and technical assistance to smooth dispute settlement mechanisms.

Sectors most impacted

This regulation affects most industries, from **private energy producers** to **public administration municipalities** where energy is created by utilizing fuels, gas, and generating heating and power.



5. RENEWABLE ENERGY DIRECTIVE (RED)

Overview

Renewable energy directive is a key initiative for the transition of clean energy among EU member states. The RED established a common framework for the promotion of renewable energy in the EU and established a binding target of 45% for the overall share of renewable energy in the EU's gross final energy consumption in 2030. RED also created sustainability and GHG emission reduction standards for biofuels, bioliquids, and biomass fuels, as well as financial assistance guidelines to promote the use of renewable energy.

Status of regulation

On March 20, 2023, the EU Commission received a revision to the EU Renewable Energy Directive, bringing the EU one step closer to completing the "Fit for 55" legislation. On 20th November 2023, the revised RED came into force with an 18-month period to enforce the directive's provisions into national law, with a shorter deadline in July 2024 for some provisions related to permitting for renewables.

Key context of regulations

The revised RED has significant regulations such as:

- RED aim to create an energy-efficient and circular energy system based on renewable energy that promotes the use of renewable and low-carbon fuels, including hydrogen, in sectors where electrification is not a viable option, such as transportation.
- The deal lifts the EU's binding renewable aim for 2030 to a minimum of 45%, up from the current target of 32%, and nearly doubles the EU's current share of renewable energy by 2030.
- Member states will establish designated renewable acceleration zones, with quicker and simpler approval processes and improve cross-border cooperation.

- Revised RED has targets and measures to support the adoption of renewables throughout various sectors of the economy.
- RED strengthens renewable energy targets for heating, cooling, and district heating systems, introducing a 49% renewable energy baseline by 2030.
- RED emphasizes the EU's regulatory framework for renewable energy use in transport, aiming for a 14.5% reduction in GHG intensity and a 29% share of renewable energy in final energy consumption. It comprises a combined sub-target of 5.5% for new biofuels and 1% for non-biological origin fuels, supporting the EU's renewable hydrogen bring-out ambitions.
- The agreement strengthens bioenergy sustainability criteria, aligning with the European Green Deal's climate and biodiversity ambition, applying to smaller installations (equal to or above 7.5 MW) instead of the 20 MW threshold.
- RED forbids forest biomass from biodiversity-rich areas and requires cascading use for its highest economic and environmental value.

Sectors most impacted

The Renewable Energy Directive impacts various sectors of the economy. It encourages the adoption of renewable energy in industries, **heating, cooling, and district heating systems**. The directive also sets regulations for the use of renewable energy in the **transport sector**, **promoting advanced biofuels** and **renewable hydrogen**.



6. ALTERNATIVE FUELS INFRASTRUCTURE REGULATION (AFIR)

Overview

The alternative fuels infrastructure legislation, which is part of the Fit for 55 packages, establishes precise objectives for the establishment of such infrastructure in the EU over the next few years. The goal of the regulation is to ensure that there is enough infrastructure for cars, trucks, ships, planes to recharge or refuel with alternative fuels like hydrogen and liquified methane with good enough coverage across the union citizens will no longer have to worry about locating charging and refilling sites for their electric or fuel-cell vehicle.

Status of regulation

The Council adopted a new Alternative Fuels Infrastructure legislation in July 2023 (AFIR) to boost the number of charging and fuelling stations across Europe. The Council.

Key context of regulations

The AFIR sets specific targets for the deployment of alternative fuels infrastructure by certain deadlines also ensuring smooth adoption:

- By the year 2025, fast charging stations of at least 150kW aim to be constructed for every 60 km along the EU's key transport corridors (TEN-T network) for cars and vans.
- Heavy-duty vehicle recharging stations will be deployed every 60 km along the TEN-T core network and every 100 km on the comprehensive network by 2025, with complete coverage by 2030.
- By 2030, hydrogen refueling stations must be deployed in urban nodes and every 200 km along the TEN-T core network for cars and lorries.
- Maritime ports must provide at least 50 shore-side electricity for passenger vessels and 100 for container vessels by 2030.
- Airports must provide electricity to stationary aircraft by 2025 and remote stands by 2030.

- Electric or hydrogen-fuelled vehicles must pay easily at recharging or refueling points using payment cards or contactless devices, without subscriptions or subscriptions.
- Regulation ensures that consumers have easy access to charging and refueling points with transparent pricing and payment options, making the switch to alternative fuels more accessible and convenient across EU.

Sectors most impacted

The Alternative Fuels Infrastructure Regulation impacts various sectors, including **transportation, shipping, and aviation**. It focuses on providing charging and refueling **infrastructure for electric and hydrogen vehicles**, enabling zero-emission mobility solutions for road transportation. Additionally, the regulation aims to support the use of alternative fuels in the **maritime and aviation sectors**, promoting more sustainable practices in these areas.



7. SOCIAL CLIMATE FUND

Overview

The European Commission proposed the Social Climate Fund (SCF) as part of the 'fit for 55' package to support the most vulnerable individuals and businesses affected by the expansion of the EU emissions pricing system (ETS) to the construction and road transport sectors. The SCF would be largely funded by future ETS revenues and would be used for direct income support as well as investment in energy-efficient building upgrades and sustainable transportation.

Status of regulation

The new SCF legislation would go into force on June 30, 2024, with the first payments due in 2025. However, the Commission expressly states that the SCF rule will go into effect at the same time as the deadline for transposing the new ETS Directive covering the buildings and road transport sectors.

Key context of regulations

- The Social Climate Fund would be established for the period 2025–2032, with a budget of more than €72 billion. It would be supported primarily by a 25% share of the EU's future ETS earnings from the construction and road transport sectors, which would be matched by national contributions fund, for example, from Member States' own ETS revenues.
- The new emissions trading system will impose a yearly dropping cap on emissions from road transport and buildings sectors, within which all allowances will be auctioned.
- The amount of the Social Climate Fund will correspond to a particular share of the proceeds from the new system's auctioning of emission permits.
- The Fund can finance temporary direct income support for vulnerable households pending investments' impact on cost reduction and emissions.
- Member States should finance 50% of the social climate plan SCPs' total cost from their resources, aligning national and EU spending priorities. They

can use additional revenues from ETS credits in buildings and road transport sectors to finance their share.

- According to the formula in Annex I, each Member State can receive from the SCF. Poland (17.6% of total SCF financing), France (11.2%), Italy (10.8%), Spain (10.5%), and Romania (9.3%) will be the greatest recipients in absolute terms.
- Nonetheless, given their relatively smaller population proportions, nations such as Bulgaria (3.9%), Hungary (4.3%), and Slovakia (2.4%) will profit significantly.

Sectors most impacted

The Social Climate Fund directly impacts the construction and **road transport** sectors, driving investments in **energy-efficient building upgrades** and sustainable transportation. The funds will support vulnerable households and micro-enterprises affected by the expansion of the emissions pricing system. Additionally, the SCF will have a significant influence on measures to enhance building energy efficiency and decarbonization, promoting renewable energy integration and low-emission mobility and transport.



8. CARBON BORDER ADJUSTMENT MECHANISM (CBAM)

Overview

The EU's climate ambition raises concerns about 'carbon leakage', where companies from the EU move production to countries with less stringent policies or EU products are replaced by more carbon-intensive imports. This risk arises when less stringent policies prevail in non-EU countries. The EU's Carbon Border Adjustment Mechanism (CBAM) aims to set fair prices for carbon emitted in carbon-intensive goods entering the EU and encourage cleaner industrial production in non-EU countries. It is gradually introduced, aligning with the phase-out of free allowances under the EU Emissions Trading System, to support the decarbonization of the EU industry. The CBAM ensures that imported goods' carbon price equals domestic production's carbon price, ensuring the EU's climate objectives are not undermined. It is designed to be compatible with WTO rules.

Status of regulation

The CBAM came into force on May 16, 2023, it will come into application in its transitional phase on October 1, 2023, with the first reporting period for importers ending on January 31, 2024.

Key context of regulations

- CBAM will capture over 50% of emissions in ETS-covered sectors when fully phased in, serving as a pilot and learning period for stakeholders like importers, producers, and authorities. This transition period aims to collect useful information on embedded emissions and refine the methodology for the definitive period.
- Importers will only report greenhouse gas emissions (GHG) embedded in their imports without financial payments or adjustments. Indirect emissions will be covered for some sectors, such as cement and fertilizers, after the transitional period, based on a defined methodology.

- The draft Implementing Regulation offers flexibility for calculating embedded emissions on imports during the transitional phase. Companies can choose the method of reporting between full EU method reporting, equivalent third-country national systems, or reference values. From January 1, 2025, only the EU method of reporting will be accepted.
- The permanent system, effective from January 1, 2026, requires importers to declare goods imported and embedded GHG each year and surrender CBAM certificates. The price of certificates is determined by the weekly average auction price of EU ETS allowances in €/tonne of CO₂ emitted.
- The Commission is developing IT tools for importers to perform and report calculations, providing guidance, training materials, and tutorials for businesses during the transitional mechanism.

Sectors most impacted

The CBAM will primarily impact imports of carbon-intensive items and precursors, such as **cement, iron, steel, aluminum, fertilizers, electricity**, and **hydrogen**. The initiative may also consider expanding its scope to include other products, services, value chains, and indirect emissions like electricity used in production.



9. FUEL EU MARITIME

Overview

The Fuel EU Maritime initiative is a cornerstone of the EU's Fit for 55 package, aiming to increase the use of renewable and low-carbon fuels and reduce greenhouse gas emissions from the maritime sector. It aligns with the European climate law and plays a crucial role in achieving the EU's climate objectives for 2030 and 2050.

Status of regulation

Fuel EU Maritime initiative has reached a provisional political agreement between the Council and the European Parliament. It is currently subject to formal approval by the two co-legislators. The text of the agreement will be submitted to member states' representatives (Coreper) for adoption in one of the upcoming Councils. Starting from January 1, 2025, the regulation will work towards increasing the use of renewable and low-carbon fuels in the fuel mix of international maritime transport within the EU.

Key context of regulations

- Establishing time-limited exclusions for the treatment of the world's most remote regions, tiny islands, and places economically dependent on connection
- Presenting reduction factors for ice-classed ships as well as ships navigating in ice.
- Raising the targets for the greenhouse gas intensity of energy used on board ships as of 1 January 2035.
- Introducing strategies that promote the use of renewable fuels of non-biological origin (RFNBO).
- The standards for on-shore power supply (OPS) and rules about zero-emission technologies are based on the principle that the system should be consistent with the Alternative Fuel Infrastructure Regulation (AFIR).
- Fossil fuels are omitted from the fuel certification process and strengthening the provision to make the process more protected in the future as well.

- The Fuel EU regulation amends provisions on revenues from penalties, allowing allocation to projects supporting decarbonisation in the maritime sector.
- The regulation includes enhanced transparency and the Commission's obligations to monitor implementation in the report and review.

Sectors most impacted

The Fuel EU Maritime initiative significantly impacts the maritime sector, including **shipping companies**, **vessel owners**, and **port operators**. The regulation aims to drive the adoption of renewable and low-carbon fuels in the industry, promoting the use of cleaner technologies and reducing greenhouse gas emissions from ships.



10. REFUEL EU AVIATION

Overview

The Refuel EU Aviation Initiative is key element of the EU's Fit for 55 package it aims to drive the air transport sector more sustainable by rise the use of advanced biofuels and synthetic aviation fuels. The initiative sets regulations for fuel suppliers and aircraft operators to gradually increase the share of sustainable aviation fuels (SAF) supplied to EU airports.

Status of regulation

Parliament and council have signed the new rules on 18 October 2023, and the publication in the Official Journal of the EU is yet be published.

Key context of regulations

- It addresses the need to decarbonize the aviation sector, which accounts for a significant portion of the EU's greenhouse gas emissions.
- The regulation aims to promote the use of more sustainable aviation fuels and prevent fuel tankering practices that could undermine environmental efforts and fair competition in the industry.
- The regulation also enforces penalties for fuel providers and aircraft operators if they fail to comply with the obligations.
- The provisional agreement sets a timetable for increasing the share of sustainable aviation fuels (SAF) supplied to operators at EU airports.
- By 2025, the minimum share of SAF supplied should be 2%, increasing to 5% by 2030, and eventually reaching 63% by 2050. A sub-obligation for synthetic aviation fuels is also anticipated to increase from 0.7% in 2030 to 28% in 2050.
- The Commission proposal includes expanding fuel scope, extending the supply obligations transition period to 10 years, allowing Member States to grant exemptions for tinkering provisions, and applying the draft regulation to airports below a certain traffic threshold.

Sectors most impacted

The Refuel EU Aviation Initiative will have a significant impact on the aviation sector, including **airlines**, **airports**, and **fuel suppliers**. It aims to promote the use of sustainable aviation fuels to reduce greenhouse gas emissions from flights departing from EU airports.



11. EFFORT SHARING REGULATION

Overview

The Effort Sharing Regulation is a legislation adopted by the European Union (EU) in 2018, with subsequent amendments in 2023. The regulation sets national targets for each EU Member State for the reduction of greenhouse gas emissions in specific sectors, such as domestic transport (excluding aviation), buildings, agriculture, small industry, and waste. These sectors collectively account for almost 60% of total domestic EU emissions. The Effort Sharing Regulation aims for 40% reduction in greenhouse gas emissions by 2030, part of climate change efforts and European Green Deal implementation. The Regulation differentiates targets based on GDP per capita for Member States, ensuring fairness and reducing costs for higher-income countries. Targets are adjusted for cost-effectiveness for those with above-average GDP per capita.

Status of regulation

The EU is revising this regulation to align with its new ambitious climate goals. The Council has established a wide consensus on the Commission's proposal for a new rule to be implemented in June 2022. In November 2022, a tentative agreement was achieved with the European Parliament. In March 2023, the Council formally accepted the new effort sharing regulation.

Key context of regulations

The revised ESR has significant updates such as:

- The main target established by the 2023 amendment to the ESR is for Member States to collectively contribute to a 40% reduction in greenhouse gas emissions by 2030, compared to 2005 levels.
- Each Member State has individual emission reduction targets ranging from 10% to 50% compared to their 2005 levels.
- The objectives are determined in a fair and cost-effective way that considers national conditions.

- If the effects of COVID-19 or other unanticipated events on emissions are deemed essential, national emissions trajectories for each member state may be altered in 2025.
- The updated ESR includes various flexibilities to help Member States reach their emission reduction targets. These flexibilities include banking, borrowing, and trading of emission allowances among countries.
- Some countries may use limited EU ETS allowances and LULUCF credits from carbon removals to achieve ESR targets. Updated ESR is closely linked to climate regulations, promoting coordinated efforts to address climate change.

Sectors most impacted

The sectors most impacted by the Effort Sharing Regulation are **domestic transport** (excluding aviation), **buildings, agriculture, and waste**. These sectors are responsible for a significant portion of the EU's domestic emissions and are subject to specific reduction targets under the ESR.



12. CO₂ EMISSION PERFORMANCE STANDARDS FOR CARS AND VANS

Overview

The primary goal of the CO₂ emission performance standards for cars and vans regulation is to reduce emissions from road transport, which represents a significant share of the EU's total emissions. By setting stricter CO₂ emission standards for new cars and vans, the regulation aims to encourage the automotive industry to shift towards zero-emission mobility and invest in a fossil-free future. The targeted emission reductions will contribute to the EU's broader climate goals and its commitment to combatting climate change.

Status of regulation

On March 2023 EU Council adopts the new updates of the regulation on CO₂ emissions for new cars and vans. Council adopts stricter CO₂ emission performance standards for new cars and vans, aiming to reduce road transport emissions and promote zero-emission mobility in the automotive industry. This push ensures innovation and a shift towards zero-emission mobility.

Key context of regulations

The revised regulation has significant changes such as:

- The new rules set ambitious targets for CO₂ emission reductions in new cars and vans. From 2030 to 2034, there will be a 55% reduction in CO₂ emissions for new cars and a 50% reduction for new vans compared to 2021 levels.
- From 2035, both new cars and vans will be required to achieve 100% CO₂ emission reductions.
- The regulation also introduces a regulatory incentive mechanism for zero- and low-emission vehicles (ZLEV) from 2025 to 2029. Manufacturers meeting certain benchmarks for ZLEV sales will be rewarded with less strict CO₂ targets.

- The regulation contains a reference to e-fuels and proposes registering vehicles exclusively on CO₂-neutral fuels after 2035, by EU law, outside fleet standards, and in line with the EU's climate neutrality objective.
- The regulation includes a review clause for the year 2026, requiring the Commission to assess progress towards achieving 2035 100% emission reduction targets and review them. This review will consider technological advancements, plug-in hybrid technologies, and the need for a socially equitable transition towards zero emissions.
- The EU is gradually reducing the cap on emission credits for eco-innovations to a maximum of 4g/km per year from 2030 to 2034.
- A common methodology will be developed by the Commission by 2025 to assess the full life cycle of CO₂ emissions in cars and vans, as well as the fuels and energy consumed by these vehicles.

Sectors most impacted

The regulation will significantly impact the **automotive industry** by imposing stricter CO₂ emission standards, accelerating the **transition to electric vehicles**, and accelerating the production of **zero-emission vehicles**. This will affect electric vehicle availability and affordability, influencing consumer choices and driving zero-emission mobility.



13. LAND USE, LAND USE CHANGE AND FORESTRY (LULUCF)

Overview

The Land Use, Land Use Change, and Forestry (LULUCF) regulation was adopted in 2018 by the European Union (EU) to address the carbon footprint of activities related to land use and forestry. It aims to ensure that emissions within this sector are balanced by equivalent removals of CO₂ from the atmosphere, making the EU's land use and forestry sector a net carbon sink. The regulation is being revised to align with the EU's broader climate goals of reducing net emissions by at least 55% by 2030 and achieving climate neutrality by 2050.

Status of regulation

The Council and the European Parliament derived a provisional agreement on the revision of the rule in November 2022. The Council formally accepted the new regulation in March 2023. The revised LULUCF regulation aims to combat climate change and achieve ambitious targets by strengthening land use and forestry carbon removal capacity.

Key context of regulations

The revised LULUCF regulations has significant targets and initiatives such as:

- The revised Phase 2 (2026–2030) EU-level objective for net carbon reductions in the LULUCF sector by 2030 is 310 million tonnes of CO₂ equivalent. This is a significant increase compared to the existing target of 225 million tonnes.
- Phase simplifies compliance rules, transitioning from accounting benchmarks to reported emissions and removals, enhancing accuracy through geographical data and remote sensing.
- Promoting synergies between climate mitigation and environmental protection measures in agricultural, forest, natural, and semi-natural areas to address climate and biodiversity crises.
- Each member state shall set its binding targets for increasing net greenhouse gas removals based on previous emissions and removals levels, as well as

the potential for additional increases while keeping in account cost-effectiveness, fairness, and environmental integrity.

- The new guidelines support the EU's climate goals by increasing natural carbon sinks and encouraging more climate-friendly land use and forestry by 2030.
- Member States must evaluate CAP Strategic Plans' alignment with revised LULUCF and Effort Sharing Regulation (ESR) targets and make necessary amendments.
- New regulation involves actors in the land use sector as it is crucial for promoting improved practices, protecting carbon stocks, and enhancing biodiversity through carbon farming. Carbon farming will be financed through incentives from public or private sources.
- EU establishes regulatory framework for EU-certified carbon removals, promoting transparency, credibility, and sustainable land management by scaling business models for 2030 and beyond.

Sectors most impacted

The regulation will have a significant impact on sectors such as **agriculture, forestry,** and **land management**, as well as those that utilize wood products. Furthermore, the rules will influence the management of wetlands and grasslands for carbon sequestration.

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Valli Tirounavoucarassou

Consultant

in 



Vishakha Goel

Sustainability Head

in 

